Hence, financial regulation is a difficult problem in constructing state capacity. [2]

Solutions that reduce complexity in some dimensions

There is a great deal of optimism about the extent to which modern IT solves problems of governance. We are able to see one zone where IT systems are truly transformational: in the removal of discretion.

As an example, when there is an IT system through which railway tickets are sold, the discretion of the front line sales person is eliminated. IT systems ease the construction of state capacity by offering process engineering through which discretion can be removed. [3] This is a recurring theme running across many great opportunities for utilising IT in building state capacity. [4]

Example 28: Judicial reforms

In the working of courts and tribunals, there are two distinct elements which can be seen as pillars of intervention. There is the highly discretion-intensive problem of the thinking of the judge. Alongside this, there is the low-discretion and transaction-intensive problem of running the operational processes of the court. This is also termed ‘the registry’ of the court.

It is possible to bring modern business process re-engineering into the working of the operational procedures. This approach is likely to give substantial gains in the operational efficiency of courts, while leaving the independence of the judiciary intact. [5]

This is a useful vertical split, between high-discretion and low-discretion parts of the working of a court. Using modern IT systems, the low-discretion part can be rapidly transformed.